



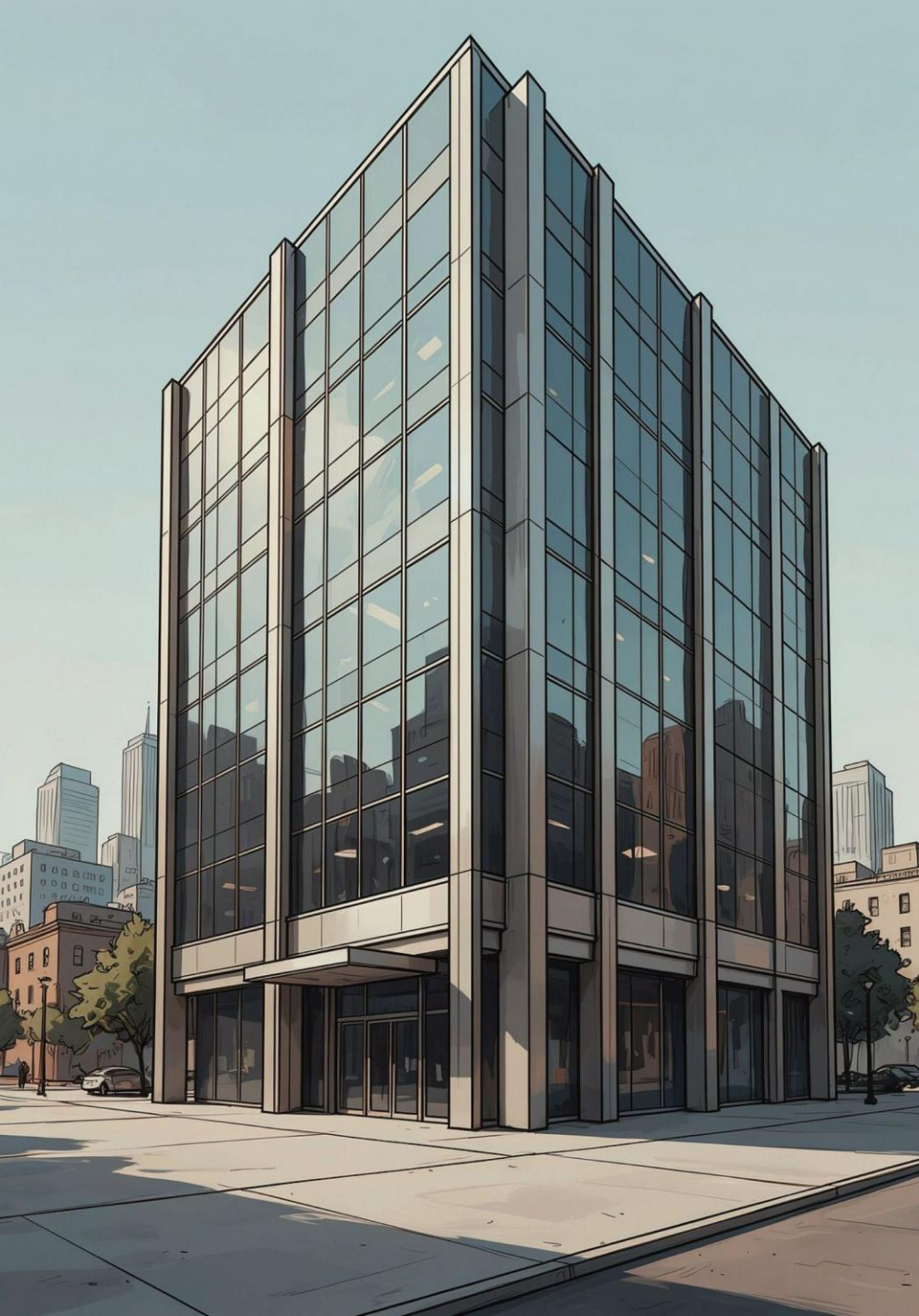
The Talent Partner Unlocking Tomorrow's Workforces

Non-Reportable Investigations, SAR Decisioning & Narrative Writing

Week 2: Day 8 — From Investigation to Regulatory Decision

Trainer: Mahesh Gali, CAMS, CFCS, CALM





Non-Reportable Investigations, SAR Decisioning & Narrative Writing

Week 2 · Day 8 — From Investigation to Regulatory Decision

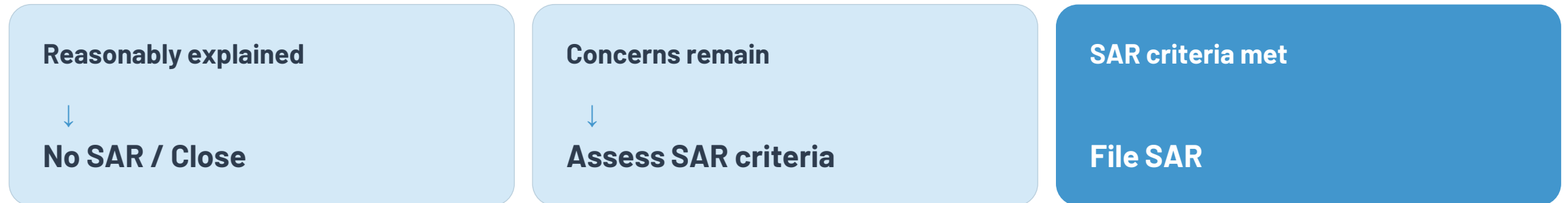
Trainer: **Mahesh Gali, CAMS, CFCS, CALM**

The decision follows the evidence — not the alert.

From Investigation to Regulatory Decision



Three practical outcomes



Key message: An alert, or unusual activity, does not automatically become a SAR.

Golden rule: The decision follows the evidence — not the original alert.



The SAR / No-SAR Decision

The SAR / No-SAR Decision

Non-reportable investigations

The regulatory standard

The decision framework

A defensible No-SAR rationale



What Is a Non-Reportable / No-SAR Investigation?

A No-SAR decision means that, after appropriate review, the institution determines a SAR filing is not required based on the available facts and applicable reporting requirements.

Examples may include

- 1 Activity reasonably explained
- 2 Supported by customer profile or business purpose
- 3 Initial concern resolved by additional information
- 4 Internal threshold alert, but the activity is legitimate
- 5 Available facts do not meet applicable SAR criteria

Important: No SAR ≠ bad investigation.

Key message: A well-supported decision not to file matters as much as a decision to file.

SAR Decisioning: The Regulatory Standard

Applicable thresholds are met AND the bank knows, suspects, or has reason to suspect that the transaction:

1

Involves funds derived from illegal activity, or attempts to hide or disguise such funds

2

Is designed to evade BSA requirements

3

Has no business or apparent lawful purpose

4

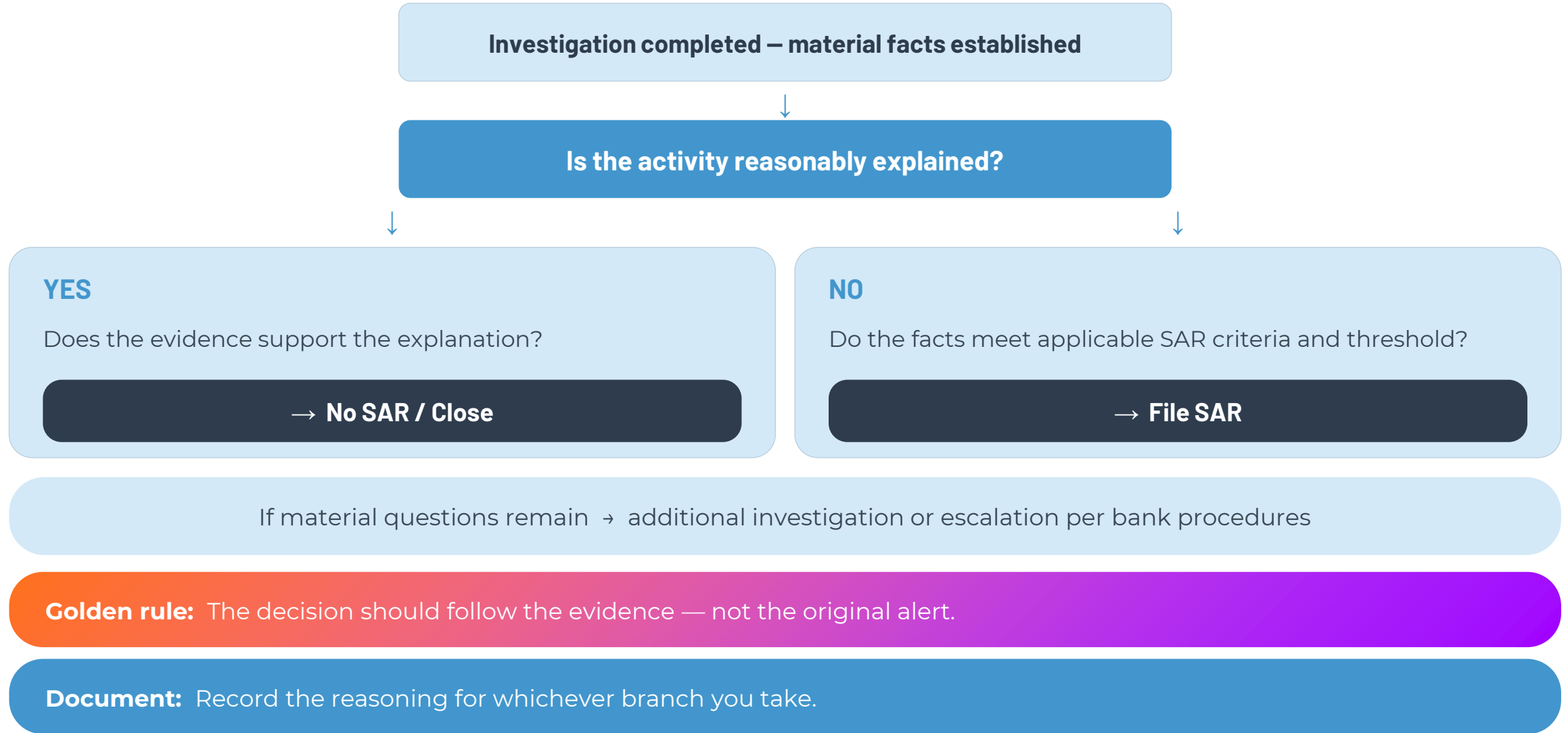
Is activity the customer would not normally be expected to conduct, with no reasonable explanation after examining available facts

Threshold + Facts + Suspicion + No reasonable explanation → SAR consideration

Key message: The analyst does not need to prove the underlying crime.

The test is: Knowledge, suspicion, or reason to suspect — on the available facts.

SAR vs No-SAR Decision Framework



What Makes a Strong No-SAR Decision?

What activity was reviewed

Why it warranted investigation

What information was identified

What explanation was established

What evidence supports it

Why SAR criteria were not met

✗ **Weak**

“Activity reviewed and appears normal.”

✓ **Better**

“Review identified \$32,000 in cash deposits during the period. The customer operates a cash-intensive grocery business with historical monthly cash deposits between \$25,000–\$35,000. Deposit activity was consistent with historical account usage and stated business activity. No material unexplained activity was identified.”

Key message: A No-SAR rationale must explain the activity — not simply describe it.

Test it: Would a reviewer reach the same conclusion from your rationale alone?



Filing, Timing & Confidentiality



Filing, Timing & Confidentiality

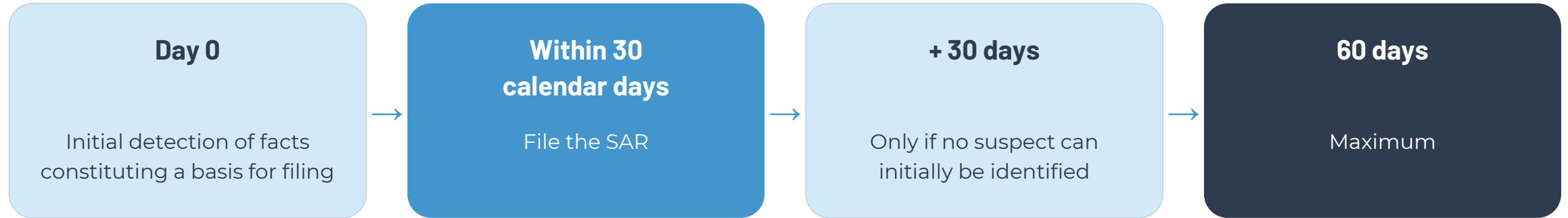
The SAR filing timeline

When the clock starts

SAR confidentiality

Tipping off

SAR Filing Timeline



Immediate attention: for violations requiring immediate attention, such as certain ongoing money-laundering schemes, appropriate law-enforcement notification may also be required in addition to timely SAR filing.

Important distinction

Reviewing activity to determine whether a SAR is warranted does not itself necessarily start the filing period.

Remember: Alert date $\neq$ automatic start of the SAR clock.

The clock starts: On initial detection of facts that constitute a basis for filing.

SAR Confidentiality & Tipping Off

Never disclose to the person involved

- That a SAR was filed
- That a SAR is being filed
- Any information that would reveal its existence

Why it matters

- Disclosure could compromise investigations
- It could alert the subject
- It could interfere with law-enforcement activity

Investigate professionally – but never tell the customer that a SAR has been or will be filed.

Key message: SAR information is highly confidential — inside and outside the bank.

If asked: Follow your bank's escalation procedure. Do not improvise an answer.



Writing the SAR Narrative

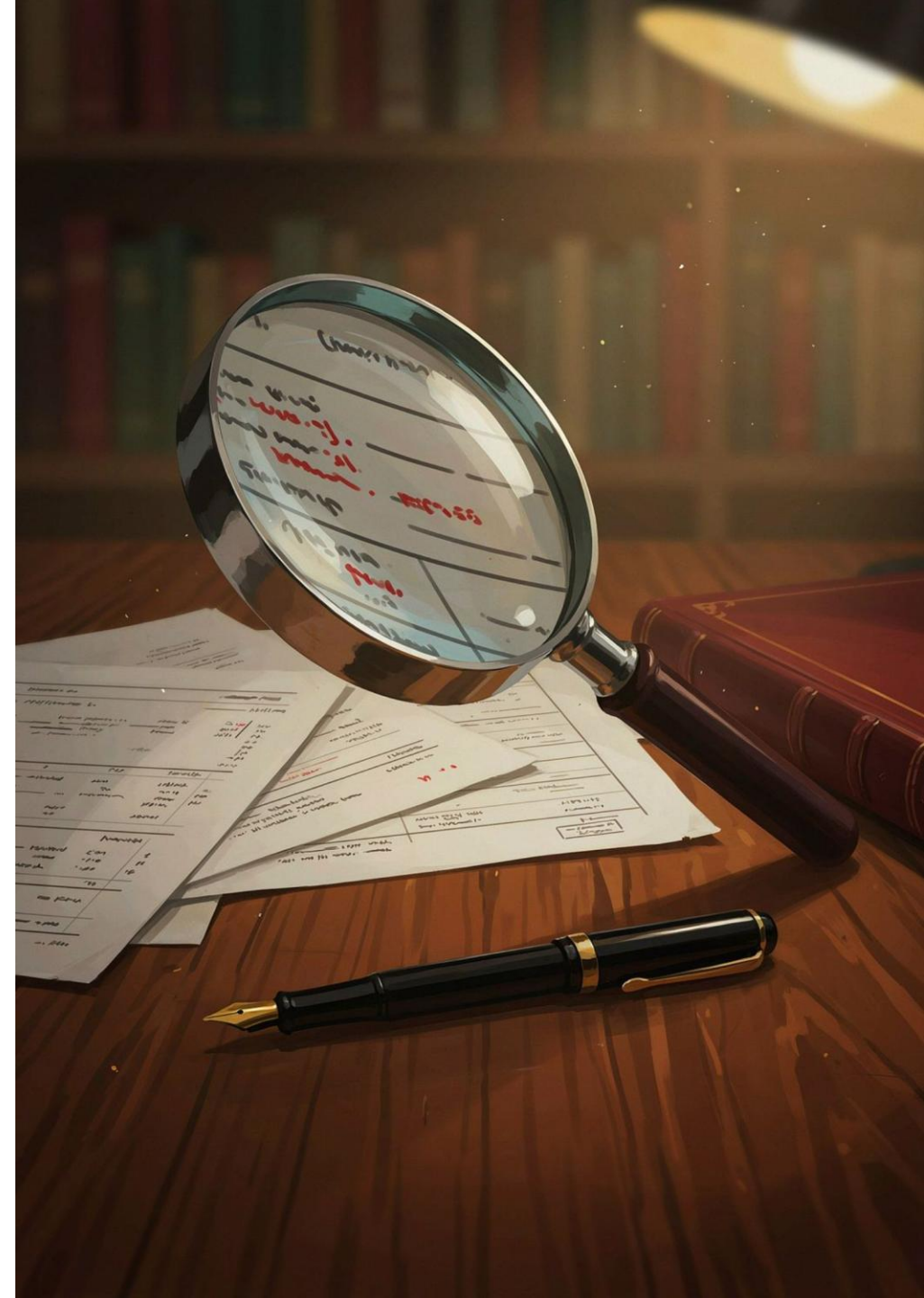
Writing the SAR Narrative

What the narrative does

A practical structure

Writing style: do and don't

Say it with specifics



What Is a SAR Narrative?

WHO

was involved

WHAT

happened

WHEN

it occurred

WHERE

it occurred

WHY

it is suspicious

HOW

it was conducted

Transaction data + Customer context + Investigative findings = A clear story for law enforcement

Key message: Someone who has never seen the case should understand what happened and why it matters.

Write for: A reader outside the bank, with no access to your systems.

Structure of a Strong SAR Narrative

1

Opening / Executive summary

Who is reported, review period, total amount, primary concern

2

Customer background

Relevant occupation, business and account information

3

Suspicious activity

Material transactions and patterns, chronologically where useful

4

Investigative findings

Relationships, counterparties, explanations, supporting findings

5

Why it is suspicious

What remains unexplained or inconsistent

6

Supporting information

Documentation available to support the filing

Key message: Same structure every time — the facts are what change.

Open strongly: The first paragraph should carry the whole case in outline.

Writing Style: Objective, Concise & Useful

✓ Do

- Write chronologically where useful
- Use specific dates and amounts
- Identify relevant counterparties
- Explain the transaction patterns
- Separate facts from allegations
- Explain why the activity is suspicious
- Use plain, professional language
- Focus on material information

✗ Don't

- Write emotional conclusions
- Make unsupported accusations
- Pad the narrative with unnecessary KYC detail
- Copy the alert description without analysis
- Use vague statements such as “it is a criminal proceeds”
- Overload it with irrelevant transactions

Key message: Objective, specific and material — in that order.

Remember: Separate what the evidence shows from what it might mean.

Say It With Specifics

✗ Weak

“Customer conducted many suspicious transfers.”

✓ Better

“Between June 3 and June 18, the customer received \$48,500 through 17 P2P transfers from 11 individuals and subsequently wired \$42,000 to ABC Trading Ltd.”

Dates

Amounts

Counts

Counterparty

Sequence

Golden rule: Write what the evidence demonstrates — not what you assume happened.

Specificity is: What turns an opinion into a finding.

Key Takeaways

01 An alert does not automatically become a SAR

02 No SAR is a decision, not a failure

03 Knowledge, suspicion or reason to suspect – not proof

04 The clock starts on detection of the facts

05 Never disclose that a SAR was or will be filed

06 Write specifics: dates, amounts, counterparties

Closing thought: Decide on the evidence, document the reasoning, and write it so a stranger can follow it.



Investigation Case Study Lab

Applying the Full Investigation Workflow

Case → Analyze → Investigate → Decide → Write → Present

Objective & Case Coverage

Objective: apply the knowledge and investigation skills learned throughout the programme to realistic AML cases.

Cases will cover

Cash structuring

Large cash deposits

ATM cash activity

Wire transfers

P2P / Zelle

Multi-alert investigations

SAR vs No-SAR decisions

Today's flow

Case



Analyze



Investigate



Decide



Write



Present

Ground rule: Work the evidence in order — no conclusions before step three.

STEP 1

Understand the Case

1 What triggered the alert?

2 Who is the customer?

3 What does KYC tell us?

4 What activity was expected?

5 What actually happened?

6 Which period and accounts are relevant?

7 Which transactions need closer attention?

Key message: Understand the customer and the alert before judging the activity.

Do not: Open the transaction list before you can describe the customer.

STEP 2

Analyze & Follow the Money



Look for

Transaction patterns and timelines

Cash and ATM activity

Wire / ACH / P2P movement

Significant counterparties

Rapid movement of funds

Connections between multiple alerts

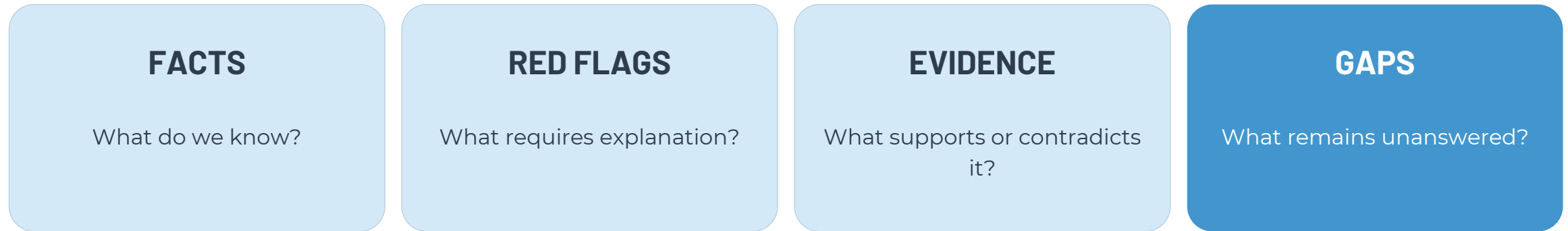
Activity inconsistent with KYC or history

Key question: What is actually happening with the money?

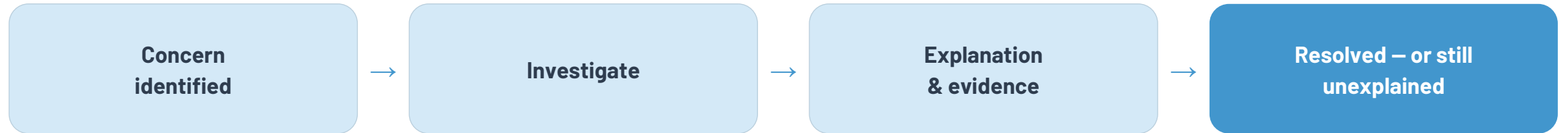
Method: Read the case as one story — not as a list of transactions.

STEP 3

Investigate & Evaluate Evidence



Then determine



Remember: Do not investigate to prove suspicion — investigate to understand the activity.

Write it down: An unresolved gap belongs in the file, not in your head.

STEP 4

SAR vs No-SAR Decision

Potential No SAR

Activity reviewed

Reasonable explanation identified

Evidence supports the explanation

Material concerns resolved

No SAR / Close

Potential SAR

Activity reviewed

Material concerns identified

Investigation completed

Concerns remain unexplained

Applicable SAR criteria met → SAR

Associates should be able to answer

What is my decision?

What facts support it?

What was resolved?

What remains?

Can I defend it with evidence?

Key message: The alert starts the investigation. The evidence drives the decision.

Be ready: Defend your decision out loud, using facts only.

STEP 5

Prepare & Present the Narrative

WHO

Customer and relevant counterparties

WHAT

Material activity and pattern

WHEN

Review period and key dates

WHERE

Source and destination of funds

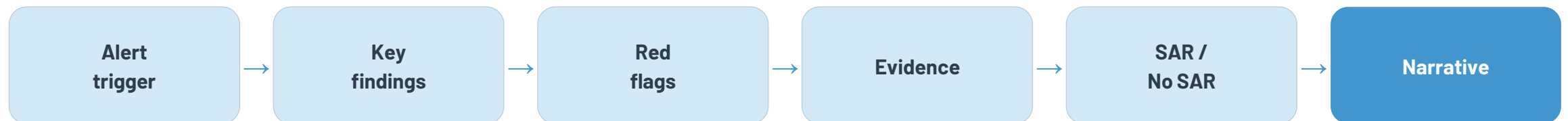
WHY

Why it is suspicious — or explained

HOW

How the funds moved

Final group deliverable



Final takeaway: Analyze the complete story, follow the evidence, make a defensible decision, and document it clearly.

Present it: Five minutes, facts only, decision stated first.

Putting It All Together

Day 6

Cash, CTR & structuring

Day 7

Wires, ACH & P2P

Day 8

Investigation workflow

Day 9

SAR decisioning & narrative

Day 10

Case study lab

1

Understand first

The customer and the alert before the activity

2

Follow the money

Source → movement → counterparties → destination

3

Separate the four

Facts · red flags · evidence · gaps

4

Decide on evidence

The alert starts it; the evidence ends it

Final takeaway: Analyze the complete story, follow the evidence, make a defensible decision, and document it clearly.